

**ANNUAL INCOME TWENTY POUNDS, ANNUAL
EXPENDITURE NINETEEN POUNDS NINETEEN
AND SIX, RESULT HAPPINESS.
ANNUAL INCOME TWENTY POUNDS,
ANNUAL EXPENDITURE TWENTY POUNDS OUGHT
AND SIX, RESULT MISERY.**

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Coming in and going out

To make sure you live within your means, it's a good idea to work out a budget—a record of what expenses must be paid versus how much money is coming in. You can do this in a special account book or on a computer spreadsheet. Whichever method you choose, the idea is the same: you compare your income, such as your monthly wages, with your expenditure, the amount you spend in a month.

Needs and wants

If you have a job with a regular income, you know how much money you have in your budget, and that this will be the same each month. Next, you need to list the things that you spend money on, and how much they cost. The first things that you put on your list of expenses are the essentials, such as housing, food, and payments for gas, electricity, and water. Some are regular payments, the same every month, but others will be different at different times of the year. There may be other things that are important, such as phone bills, bus and train fares, and insurance payments. Next on your list will be things that maybe are not essential, but give you pleasure or make your life